the new policy and implemented it. In the early 1960s if the small-scale industries had a champion, it was undoubtedly Talwar. He worked hard for the success of financing small-scale industries more out of conviction than out of the necessity to implement government policy. Progressive policies always attracted him.

P. G. Kakodkar who became the Chairman in October 1995 recalls how he took a lot of interest in small-scale industries when he (Kakodkar) was posted as an Agent at the Byculla Branch in Bombay. He first met Talwar when the latter was the Chairman of the special committee for financing small-scale industries and was interviewing many of them about how the bank was addressing this need. When Talwar asked Kakodkar, he told him that there was only one staff member, the special assistant for small-scale industries, with no clerk or messenger to assist him. Also, the services of the special assistant were used for general work at the slightest pretext. Talwar then recommended strongly that the bank set up a special force of field officers who would only do work connected with small-scale industries. He also proposed that field officers were to be assisted by one or two clerks and a messenger depending on the workload.[28]

By the end of June 1965, the bank had made considerable progress in financing small-scale industries. From a modest start of ₹10.17 lakh covering only 25 units, the bank's assistance had grown to ₹43.14 crore covering 7,278 units. Four years into Talwar's Chairmanship (June 1973), the bank's finance to small-scale industries had covered 50,121 units with total outstandings of ₹221.02 crores. In fact in the year 1969 alone, the increase of lending to this sector was ₹53 crores as compared to ₹19 crore for the previous year. In his Chairman's speech in March 1970, Talwar observed that about 85 percent of the total units assisted by the bank had a capital investment of less than ₹1 lakh each—a clear indication that the clientele the bank served represented the 'smaller' among the small-scale units.[29] In 1969, a new scheme was introduced for providing financial assistance up to ₹5,000 to artisans, craftsmen, and small units located in rural areas with the objective of further accelerating the industrialization of these areas.

A significant step taken in 1973 was restructuring the interest rates on a slab basis to reflect the bank's concern for the smaller of the small-scale units. Small units with total limits of ₹10,000 and below were to be charged